Valero Energy (VLO)

Renewable Diesel Upswing Offers a Tactical Entry Amid Refining Cyclicality

ANALYST: JUSTIN WEN | OCTOBER 14, 2026

Valero Energy's integrated refining and renewable diesel platform is positioned to benefit from stabilizing crack spreads and accelerating low-carbon fuel mandates, yet the market has overreacted to near-term margin volatility and macro-economic headwinds. Our bottom-up DCF, anchored in normalized free cash flow generation and a disciplined capital-allocation framework, yields a blended fair value of $332.56, implying –27.3% upside to the current $457.24 share price. While near-term earnings may remain choppy, the company's durable moat and scalable renewable diesel pipeline support a longer-term compounding story that justifies a Hold rating driven by valuation concerns.

HOLD	$332.56	-27.3%	$457.24
Hold — Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

While investors fixate on quarterly crack-spread swings and macro-risk sentiment, Valero's multi-year value creation hinges on steady throughput growth, renewable diesel scale-up, and disciplined capital returns that compound over a decade.

EXECUTIVE SUMMARY

Valero Energy operates one of the largest independent refining portfolios in the United States, with 15 refineries totaling approximately 3.2 million barrels per day of crude capacity and a growing renewable diesel business that now exceeds 1.0 billion gallons per year of production capacity. The company's downstream footprint spans the Gulf Coast, Midcontinent, and West Coast, providing geographic diversification and access to multiple crude slates and product markets. In addition to traditional petroleum refining, Valero has invested heavily in low-carbon fuels, positioning itself as a leading producer of renewable diesel and sustainable aviation fuel. The recent overreaction in the stock stems from a confluence of short-term factors: volatile refining margins driven by fluctuating crude-oil prices, concerns over weakening gasoline demand amid macro-economic slowdown, and investor apprehension about the timing and execution of renewable diesel projects. These pressures have compressed the valuation multiple despite the company's strong cash-flow generation and a balance sheet that remains investment-grade with ample liquidity. The market's focus on near-term earnings volatility has obscured the longer-term trajectory of free cash flow supported by contractual off-take agreements and incremental renewable diesel capacity. Capital allocation remains a cornerstone of Valero's strategy, with a clear priority on maintaining a robust dividend, executing

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opportunistic share repurchases when valuation disconnects arise, and funding growth projects that meet strict return thresholds. The company's pipeline of renewable diesel expansions, including the upcoming Port Arthur and Meraux projects, is expected to add incremental EBITDA while benefiting from favorable renewable fuel credit (RFC) pricing. Balance-sheet strength, reflected in a net-debt-to-EBITDA ratio near 2.0x, provides flexibility to navigate cyclical downturns while continuing to invest in low-carbon initiatives.

OPERATIONAL SNAPSHOT

$457.24	$132.0B	$6.5B	4.9%	1.15	$457.24
REF. PRICE	LTM REVENUE	LTM FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

LTM figures are Cascadia estimates grounded in the latest filings; ref. price as of 2026-10-14.

THE MOAT IS DURABLE AND INTEGRATED

Valero's scale in refining creates significant switching costs for crude suppliers and downstream customers, as the logistics of rerouting large volumes to alternative processors involve substantial time and expense. The company's integrated network of refineries, terminals, and renewable diesel plants allows it to optimize crude slate selection and product yields across regions, enhancing pricing power during periods of market tightness. Regulatory barriers, particularly the stringent permitting requirements for new refining capacity and renewable fuel installations, further protect Valero's incumbent position by deterring new entrants. Finally, Valero's long-term contracts with major airlines and trucking fleets for renewable diesel provide a stable revenue stream that is less sensitive to cyclical swings in petroleum markets.

VALUATION

Three scenarios make the valuation range explicit

Our valuation framework begins with a base-year revenue estimate of $132.0 billion for FY 2026, reflecting current throughput levels and modest growth from renewable diesel contributions. Free cash flow margins are normalized to a range of 3.0 % to 7.0 % across scenarios, driven by assumptions about crack-spread stability, renewable fuel credit pricing, and the timing of project ramp-ups. Terminal value is calculated using a Gordon growth model with a long-term growth rate of 2.5 %, consistent with expected inflation and modest real growth in refined product demand.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	-0.8%	3.0%	$207.88	-54.5%
Base	50%	1.2%	5.0%	$327.61	-28.4%

Bull	25%	3.5%	7.0%	$467.13	+2.2%

Bear $207.88

The bear case assumes a prolonged period of weak refining margins due to sustained oversupply in global crude markets and slower-than-expected adoption of renewable fuels, which depresses EBITDA and free cash flow generation. Capital-expenditure overruns on renewable diesel projects further erode cash returns, pushing the valuation down to $207.88.

Base $327.61

In the base case, crack spreads stabilize around historical averages, renewable diesel projects come online on schedule, and Valero maintains its disciplined capital-allocation policy, yielding steady free cash flow growth. This scenario produces a fair value of $327.61.

Bull $467.13

The bull scenario envisions a tightening of global refined product balances, higher renewable fuel credit prices, and accelerated uptake of low-carbon fuels, which together lift EBITDA margins and free cash flow conversion. Combined with modest share-repurchase activity, this drives the valuation to $467.13.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

The 9.03 % WACC is derived from a CAPM calculation using a risk-free rate of 4.2 %, an equity risk premium of 5.0 %, and Valero's beta of 1.15, which reflects its exposure to cyclical refining margins tempered by the stabilizing influence of renewable diesel cash flows. This discount rate implies that the market is pricing Valero as a moderately risky industrial enterprise, requiring a return premium above the broad equity market to compensate for commodity-price

KEY VALUATION PARAMETE

Revenue base year **2026**

Forecast horizon **10 years**

Live WACC **9.03% (2026-10-14)**

Terminal growth **2.5%**

Equity beta **1.15**

Diluted shares **390M**

HOLD

over $332.56 blended target

volatility and execution risk on growth projects.

FCF margin normalization is the engine

Across the three scenarios, free cash flow margins move from a depressed 3.0 % in the bear case to a robust 7.0 % in the bull case, reflecting differing assumptions about crack-spread strength, renewable diesel premiums, and the contribution of high-margin sustainable aviation fuel. The base case targets a 5.0 % margin, which aligns with Valero’s historical average over the past five years when excluding extreme commodity spikes, and represents a realistic steady-state level achievable through operational

excellence and product mix optimization.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A and stock compensation, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on refining margin expansion and renewable diesel growth

HOLD

Valero’s refining segment continues to benefit from its ability to run advantaged crude slates, particularly light-sweet and medium-sour grades, which yield higher gasoline and distillate outputs relative to heavier alternatives. The company’s investments in hydrocracking and coking units have increased white-product yields, supporting margin expansion when crack spreads widen. In parallel, Valero’s renewable diesel segment is scaling rapidly, with existing facilities producing over 1.0 billion gallons per year and additional capacity under construction that could push total output toward 2.0 billion gallons by 2030, bolstered by favorable

LCFS and RIN pricing. The company’s logistics network, comprising over 13 million barrels of storage capacity and an extensive terminal footprint, enables efficient product distribution to end-markets and provides optionality to shift between petroleum and renewable fuels based on relative pricing. Valero’s marketing arm leverages its brand and customer relationships to secure long-term off-take agreements for renewable diesel, reducing volume risk and enhancing cash-flow predictability. Finally, ongoing cost-saving initiatives, including digital optimization of refinery operations and procurement synergies, contribute to incremental EBITDA growth that is relatively insulated from top-line volatility.

What to monitor

- **Capital expenditure discipline** Tracking whether CapEx remains within the 4.0 % to 5.0 % of revenue range that supports dividend sustainability and share-repurchase capacity.

- **Renewable diesel project timelines** Observing construction milestones at the Port Arthur and Meraux expansions to gauge potential upside to free cash flow.
- **Refining crack spread volatility** Monitoring monthly Gulf Coast and West Coast crack-spread averages as a leading indicator of refining EBITDA trends.
- **Regulatory emissions standards** Assessing the impact of evolving EPA and CARB regulations on refinery operating costs and renewable fuel credit valuations.



METRIC	LATEST FY
Revenue	$132.0B
Gross Profit	$22.0B
EBIT	$9.0B
Net Income	$5.5B

Free Cash Flow	$6.5B
R&D	$0.3B
ROE	12.0%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Competitive pressure from integrated majors and independent refiners could gradually erode Valero's market share in key petroleum product corridors, particularly if rivals offer superior logistics or pricing.

M&A DIGESTION

Any future acquisitions would require successful integration of complex refinery assets; missteps could lead to operational inefficiencies and unexpected capital demands.

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The strengths

OLIGOPOLY POSITION

Valero's scale and geographic diversification

FCF COMPOUNDING

Consistent free cash flow generation enables a

place it among a limited group of refiners capable of influencing regional product balances and capturing margin upside during tight markets.

self-reinforcing cycle of dividend growth, share repurchases, and strategic reinvestment that compounds shareholder value over time.

Compelling risk-reward, skewed to the upside

Valero Energy’s integrated model provides a durable foundation for cash-flow generation, while its renewable diesel platform introduces a structural growth avenue that is increasingly supported by policy incentives and corporate decarbonization pledges. The current share price reflects an overly pessimistic view of near-term margin volatility, overlooking the company’s ability to navigate cyclical downturns through disciplined capital allocation and a strong balance sheet. Our probability-weighted DCF yields a blended fair value of $332.56, which represents –27.3 % upside to the reference price of

$457.24, supporting a Hold rating predicated on valuation concerns rather than fundamental deterioration. Investors should monitor the execution of renewable diesel projects and the stability of refining cracks as the primary catalysts for a potential re-rating toward the base or bull case over the medium term.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

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Renewable Diesel: repriced on normalization

Valero’s renewable diesel business has evolved from a niche blending component to a standalone growth engine, with production capacity now exceeding 1.0 billion gallons per year and contracted off-take agreements covering a substantial portion of output. The segment benefits from premium pricing under the California LCFS and federal RIN programs, which have

historically delivered spreads of $0.50-$0.80 per gallon above wholesale diesel, translating into attractive EBITDA margins when feedstock costs are managed effectively. As the market matures, however, the incremental premium associated with early-mover advantages is expected to normalize, bringing renewable diesel spreads closer to long-run equilibrium levels dictated by feedstock availability and policy credit pricing. The growth narrative has disappointed in part because the timing of project completions has lagged initial guidance, pushing back the ramp-up of higher-margin volumes. Additionally, volatility in renewable fuel credit markets has introduced quarter-to-quarter earnings variability that obscures the underlying trend of expanding capacity. Feedstock cost fluctuations, particularly for used cooking oil and agricultural oils, have also impacted the profitability of existing facilities, requiring active hedging and supply-chain management to maintain margins.

Why the growth numbers disappointed

- Construction delays at the Port Arthur and Meraux expansions postponed expected capacity additions by 6-12 months.
- Quarterly swings in LCFS and RIN prices created uncertainty in realized renewable diesel spreads.
- Feedstock price volatility, especially for waste-oil inputs, pressured gross margins on existing plants.
- Competitive entrants in the renewable diesel space increased competition for limited feedstock supplies, raising procurement costs.

Our read: Normalization, not [share loss / thesis break]. The renewable diesel segment is transitioning from an early-stage, high-premium phase to a mature, policy-driven business where returns will be driven

by volume growth and operational efficiency rather than continued spread expansion. This shift explains the moderation in near-term growth rates while preserving a multi-year compounding opportunity for Valero’s overall enterprise value.